

Lasso — Results Summary

Holdout: 2022–2025 | Purged CV | LassoCV | DM = Harvey et al. (1997) vs RW | CW = Clark-West (2007) vs OLS

Horizon	CV RMSE	CV MAE	CV R ²	CV Hit	Hold RMSE	Hold MAE	Hold R ²	Hold Hit	RW RMSE	Skill%	MAE Skill%	DM	p(DM)	CW	p(CW)	α	Nonzero
0w	0.0612	0.0474	0.174	63.0%	0.0632	0.0490	0.217	65.8%	0.0714	+11.5%	+9.2%	4.12	< 0.001	—	—	0.00521	8/110
1w	0.0863	0.0680	0.215	62.9%	0.0994	0.0758	0.241	66.1%	0.1142	+12.9%	+13.2%	4.29	< 0.001	—	—	0.00739	8/110
2w	0.0962	0.0763	0.247	66.2%	0.1182	0.0914	0.260	67.3%	0.1375	+14.0%	+16.3%	4.74	< 0.001	—	—	0.01177	6/110
1m	0.1165	0.0925	0.257	69.2%	0.1416	0.1053	0.297	71.6%	0.1690	+16.2%	+19.7%	4.46	< 0.001	0.12	0.4523	0.01177	12/110
3m	0.1822	0.1507	0.284	66.9%	0.2301	0.1865	0.423	75.6%	0.3029	+24.0%	+27.9%	3.19	< 0.001	-0.01	0.5035	0.01485	17/110
6m	0.2833	0.2282	-0.200	66.4%	0.2339	0.1895	0.585	85.7%	0.3631	+35.6%	+39.9%	3.33	< 0.001	0.56	0.2875	0.03765	5/110
12m	0.2150	0.1728	0.263	68.3%	0.2210	0.1677	-0.079	51.2%	0.2137	-3.4%	-0.6%	-0.42	0.6609	2.67	0.0041	0.09545	1/110